

Peace in Our Time?

What the real strategy is behind the US-Iran MOU.



PREDICTIVE HISTORY

JUN 19, 2026  PAID

The fourteen-points of the memorandum of understanding between the United States and Iran suggest a surrender. According to the MOU, the Americans agree to withdraw their forces, lift their naval blockade, and permit Iran to control the Strait of Hormuz. The Americans also agree to lift economic sanctions, and guarantee peace in Lebanon.

The Lebanon clause makes this MOU unfeasible. Instead of withdrawing, the Israelis have deepened their offensive against Hezbollah. In response, the Iranians have refused to sign the MOU.



Smoke and fire erupted from the site of an Israeli airstrike on a suburb south of Beirut, Lebanon, on June 5, 2025.
(IBRAHIM AMRO/AFP via Getty Images)

Eventually, the MOU will be signed because while it is not feasible it is necessary. Expecting a quick victory, the Americans have depleted their munitions. Trump said that America will run out of strategic petroleum

reserves in four weeks. The exhausting summer heat makes a ground invasion impractical, and the Pentagon has warned Trump that an attempt to seize Kharg Island or Iran's uranium would be too risky. American farmers are running out of fertilizer, and the unnecessary war and inflation spell doom for the Republicans in the mid-terms.

Iran has put on a brave face, but Trump's naval blockade has imposed tremendous suffering on the Iranian people. Pakistan has worked hard to negotiate a permanent ceasefire, and we can surmise that it has done so at the behest of both the Americans and the Chinese.

Some sort of backroom deal was worked out between Trump and Xi in China in mid-May. Trump was scheduled to visit China at the beginning of April, but he canceled. When he went to Beijing for two days in mid-May, he did so as a suppliant. After the summit, he paused the sale of a \$14 billion weapons package to Taiwan. What did he get in return from China?

China purchases 90 percent of Iran's oil, and China could provide financing, infrastructure investment, and technology transfers to help Iran re-build. As an export-oriented economy, China is protective of the current structure of the global economy. Russia and China may seem like close allies, but for the most part Chinese banks and companies have respected the sanctions imposed on Russia for its invasion of Ukraine. China relies on over half of its energy imports from the Middle East, and I have always believed that China played a decisive role in convincing the Iranians to accept the initial ceasefire. China is invested in seeing a permanent peace take hold in the Middle East, and it has refused to take a side in the conflict.

It seems like China can convince Iran to take a deal, but can the United States put a leash on Israel?

There is a growing rift between Trump and Netanyahu. Israel was left out of negotiations, and Trump has criticized Israel's wanton destruction

of Lebanon. More dramatically, Vice-President JD Vance has reminded the Israelis that it is American weaponry that defends their nation. He said that Trump is the only world leader still supporting Israel – and so they should stop angering him. This is obvious, but it is a sign of the times that the world can be shocked and startled that an American government official dare speaks the obvious against Israel.

Let us not celebrate too early. If it were Marco Rubio or Peter Hegseth who said those words, that would be a sea shift. With the departure of Joe Kent and the resignation of Tulsi Gabbard, an isolated Vance carries no weight in this administration. It is conventional wisdom in Washington that to speak against Israel is political suicide, and it's more probable that Vance is being set up as the scapegoat when war resumes.

Iran's Supreme Leader Mojtaba Khamenei has issued a written statement personally opposing the MOU, but agreeing to it after assurances from Iranian President Masoud Pezeshkian.

Neither the Iranians nor the Americans believe peace is possible, but both see a strategic advantage to be gained in the MOU. The Iranians want sovereignty over the Strait of Hormuz, and this MOU could lead to an international recognition of this fait accompli. Yes, the GCC are building pipelines and alternative supply networks, but with its hyper-sonics Iran can hold their oilfields hostage. Iran can "incentivize" the GCC to use the Strait of Hormuz.

The Americans seek the destruction of Iran's proxy network, starting with Hezbollah. The MOU is structured in a way to appease different political factions within Iran. The IRGC wants to protect Hezbollah, correctly appreciating that its capacity to threaten Israel is its ultimate strategic leverage. Reformist elements (represented by President Pezeshkian) see this proxy network as a strategic liability that forever casts Iran as a pariah state. If they could shed the proxies, Iran could re-

join the global economy, and with its oil and human capital it could become once again the pivot of global trade.

Israel's war against Hezbollah traps Iran into a dilemma. Does it abandon Hezbollah, and enjoy a resurgence of its economy? Or does it support Hezbollah, and risk international condemnation? Whatever choice Iran makes, Hezbollah is a dead man walking.

Here is how I see the next few months proceeding. Eventually, the MOU is signed, and Israel escalates the war in Lebanon, taking heavy casualties and exacting a punishing toll on an isolated Hezbollah. Trump curses Netanyahu, while Congress authorizes the integration of the American and Israel militaries. Trump dangles carrots at Iran, and the Iranian people celebrate their oil tankers reaching Chinese ports. With the tacit support of Erdogan, Syria attacks Lebanon from the north. Iran wants to respond, but their largest customer China urges restraint. And how exactly can Iran re-supply Hezbollah?

Meanwhile, Putin and Russia are forced into a greater conflict in Ukraine. Day by day, the Ukrainians grow more outrageous. Putin was already fuming at how a Ukrainian strike at a college dormitory in Luhansk killed 6 civilians. Yesterday's drone attack on Moscow can only enrage him further. With Putin pre-occupied with Ukraine, Iran is further incentivized to seek peace and economy recovery.



Black smoke rises from the area of the Russian oil producer Gazprom Neft's Moscow oil refinery on the south-eastern outskirts of Moscow on June 18, 2026.

- | Afp | Getty Images

Bringing Iran fully into the global economy is the surest way to destroy it. But an empire is far more expert at destroying itself. Washington still demands vengeance for the 1979 Iranian Revolution, and it is unlikely that the United States will cut its losses. Expect an American ground invasion of Iran in March of 2027 after the mid-terms are done with and when cooler weather allows for hotter heads to prevail.

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